LoanBazaar®
Secure Distribution Venture Pvt. Ltd.

What Is Lease Rental Discounting (LRD) ?

Developed by www.loanbazaaronline.com

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Module 1: Theoretical Foundations and Product Philosophy of Lease Rental Discounting

1.1 The Philosophy of Asset Monetization

In modern real estate and corporate debt financing, **Lease Rental Discounting (LRD)** is a highly structured, fund-based term loan facility designed to unlock the latent, non-liquid equity of a completed and income-generating property. Unlike standard mortgage term loans or Loans Against Property (LAP) that rely on the generic market value of real estate and the borrower's independent operational cash flows, LRD is underwriting-centric, focusing almost exclusively on **contractual lease cash flows, tenant creditworthiness, and structured escrow-backed auto-repayment channels**.

The product philosophy behind LRD is rooted in the concept of **Annuity Monetization**. A completed commercial office space, retail mall storefront, or logistics warehouse leased to a strong multinational tenant represents a highly secure, predictable stream of future financial receivables. Rather than waiting for these receivables to accrue over a 9-to-15-year lease horizon, the developer or property owner discounts these future rentals to secure upfront, low-cost capital from institutional lenders. This capital is then redeployed to fund fresh construction projects, pay down high-cost short-term construction debt, or consolidate existing balance sheet liabilities.

1.2 Shifting Credit Risk: The Tenant-Sponsor Substitution Paradox

A defining credit attribute of LRD is the **Sponsor-Tenant Substitution Principle**. In traditional corporate finance, when an unrated or moderately rated developer seeks a term loan, the borrowing cost is high, reflecting the standalone credit risk of the developer. However, in an LRD structure, the financial architect shifts the underwriting focus away from the distressed borrower's balance sheet to the credit quality of its underlying transactional ecosystem.

If the commercial property is leased to a AAA-rated multinational corporation, a global bank, or a major technology portal, the probability of lease rent defaults is exceptionally low. Under a structured LRD mechanism, the rent payments bypass the developer completely, being routed instead into a tripartite-controlled escrow account. Because the primary source of debt repayment is the AAA-rated tenant, lenders underwrite the facility based on the tenant's credit rating rather than the developer's balance sheet. This credit substitution allows developers to access large-ticket capital at institutional interest rates that are significantly lower than standard commercial mortgage rates.

1.3 Key Industry Drivers: Commercial Real Estate (CRE) Dynamics

The LRD ecosystem in India is driven by three main asset classes, each subject to distinct operational risk dynamics:

1. **Grade-A Commercial Offices:** Typically leased to IT/ITeS companies, multinational corporations, and financial institutions. These leases feature long tenures (9 to 15

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years), substantial lock-in periods (3 to 5 years), and built-in periodic rent escalation clauses (typically 12% to 15% every 36 months). They offer the highest credit stability.

2. **Retail shopping Malls:** Subject to consumer discretionary trends. Retail leases are often structured as a hybrid of a lower baseline fixed rent and a percentage of revenue share. They feature shorter lock-in periods and higher tenant rotation risks, requiring underwriters to apply more conservative haircut margins during appraisal.
3. **Logistics and Warehousing Parks:** Leased to e-commerce, third-party logistics (3PL), and manufacturing firms. Located near state and national highways, these assets have low operational overheads and highly stable tenant stickiness due to the high costs tenants incur in fitting out sorting facilities and cold storage.

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Module 2: Structural Comparative Taxonomy (The Commercial Mortgage Matrix)

To fully master Lease Rental Discounting, a rookie in finance must be able to contrast this product against traditional debt instruments across several credit and operational parameters.

Credit Dimension	Lease Rental Discounting (LRD)	Loan Against Property (LAP)	Standard CRE Term Loans	Working Capital Demand Loans (WCDL)
Primary Underwriting Focus	Contractual cash flows of the lease, WALE, and tenant credit rating.	Overall market value of property, promoter personal income, and debt-to-equity.	Under-construction project cash flows, sales velocity, and developer execution track record.	Transaction-backed short-term current asset cash conversion cycles (inventory and debtors).
Primary Security	Charge on property + absolute assignment of future lease rentals.	First equitable mortgage on property with no assignment of specific rentals.	First charge on project land, structures, and escrowed homebuyer collections.	General hypothecation over current assets (stock and book debts) with no real estate collateral.
LTV / Haircut Margins	LTV typically **55% to 75%** of the discounted present value of expected future rentals.	LTV capped at **50% to 65%** of the physical property's current fair market value.	LTV capped at **40% to 50%** of the project's appraised gross development value (GDV).	Sized up to **75%** of Drawing Power (DP) based on Tandon's Second Method of Lending.
Repayment Structure	Monthly EMI paid directly via tenant rent sweeps into an escrow account.	Monthly EMIs serviced from the borrower's general operating business bank accounts.	Quarterly or milestone-linked principal repayments swept from homebuyer ESCROW cash pools.	Non-revolving, fixed short-term bullet repayments swept at tranche maturity.
Indicative Tenure Ranges	Medium to Long-Term: Typically **5 years to 15 years**, strictly aligned to lease terms.	Medium-Term: **3 years to 10 years**, depending on borrower cash flow stability.	Construction-linked: **3 years to 5 years** with built-in DCCO extension covenants.	Short-Term: **30 days to 120 days** (maximum 180 days) aligned to operating cycles.
Pricing Benchmark	Linked to **EBLR** (for MSME owners) or bank **MCLR** spreads	Higher spread over MCLR/EBLR (typically **9.50% to 12.50% p.a.**),	High spread over MCLR or project-linked benchmarks (typically	Repo-linked EBLR or 3-Month MCLR (typically **9.00% to 11.50% p.a.**).

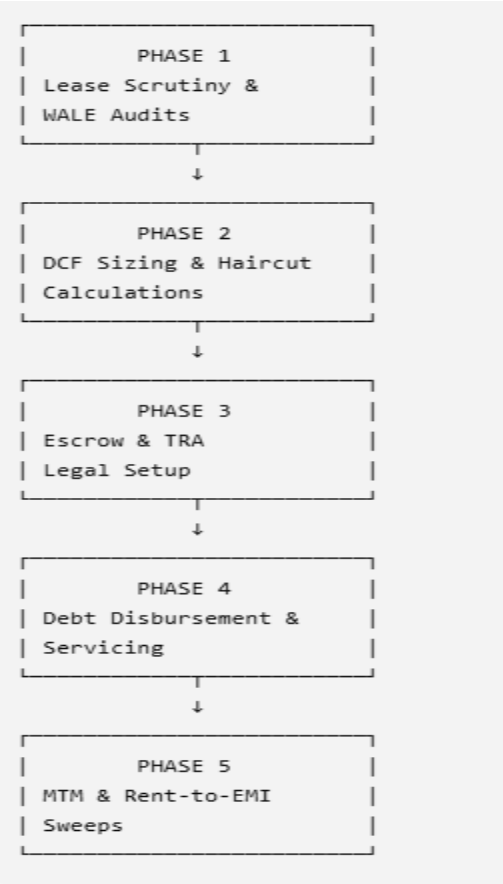
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Credit Dimension	Lease Rental Discounting (LRD)	Loan Against Property (LAP)	Standard CRE Term Loans	Working Capital Demand Loans (WCDL)
	(typically **8.25% to 10.50% p.a.**).	reflecting higher credit risk.	**11.00% to 15.00% p.a.**).	
CERSAI & ROC Filings	Mandatory ROC filing (CHG-1) and CERSAI registration within 30 days.	Mandatory CERSAI and ROC registration of mortgage charge within 30 days.	Mandatory registration of project land mortgage with CERSAI and ROC within 30 days.	CERSAI and ROC registration of general hypothecation charge within 30 days.
Balance Sheet Treatment	Classified as secured long-term debt; lease asset is capitalized under **Ind AS 40** (Investment Property).	Disclosed under secured borrowings on the liability side of the balance sheet.	Long-term secured borrowing with current maturities, tied to project inventories.	Current liability; disclosed under short-term secured borrowings.

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Module 3: The End-to-End Operational Lifecycle of LRD

The execution and management of a Lease Rental Discounting facility follows a strict, risk-mitigated transaction pipeline to protect the bank's principal over the long amortization cycle.



3.1 Phase 1: Lease Agreement Scrutiny and WALE Audits

The operational lifecycle begins with a rigorous legal audit of the underlying lease deeds. Underwriters analyze: 1. **The Lock-In Period:** The contractually binding window during which the tenant cannot vacate the property. A longer lock-in period provides higher cash flow certainty. 2. **Weighted Average Lease Expiry (WALE):** Evaluated against the loan tenure. The formula for WALE is:

$$WALE = \frac{\sum_{i=1}^{n} \left(Leased\ Area_i \times Remaining\ Lease\ Term_i \right)}{Total\ Leased\ Area}$$

Lenders require WALE to exceed or closely match the proposed LRD loan tenure. If WALE is significantly shorter than the loan maturity, the developer faces high roll-over and vacancy risks, which triggers a downward modification of the loan sizing. 3. **Notice Period and Penalties:**

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Auditing the exit notice requirements (typically 6 to 12 months) and lease break penalties, ensuring sufficient time to identify replacement tenants in default scenarios.

3.2 Phase 2: DCF Sizing and Haircut Calculations

Unlike standard asset appraisals, LRD sizing is calculated using **Discounted Cash Flow (DCF)** modeling. The underwriter plots the projected gross rental inflows (incorporating periodic contract escalations) over the lease term and discounts them at the bank's weighted average cost of capital or the loan's nominal interest rate. A standard **Underwriting Haircut Margin of 15% to 35%** is applied to the gross rents to cover operational leakages, including property maintenance expenses, vacancy reserves, property taxes, and insurance. The final LRD limit is sized such that the net rent cash flow covers the monthly EMI by a minimum **Cash Coverage Ratio (CCB) of 1.15x to 1.30x**.

3.3 Phase 3: Escrow and Trust & Retention Account (TRA) Legal Setup

To eliminate the risk of the developer divertng funds, a dedicated **Tripartite Escrow and Trust & Retention Account (TRA)** is established with the lender's current account branch. The Developer, the Bank, and the Tenant execute a formal Tripartite Escrow Agreement. An **Irrevocable Direct Payment Mandate** is issued to the tenant, legally obligating them to deposit the monthly rent directly into the escrow account. The developer cannot access these funds until the bank's monthly debt commitments are fully swept.

3.4 Phase 4: Debt Disbursement and Refinancing of Construction Term Loans

Once the escrow charge is registered, the LRD term loan is disbursed. If the property was originally funded via a construction term loan, the LRD disbursement is utilized first to repay the construction loan, converting higher-cost, high-risk construction finance into low-cost, long-term LRD debt. Any surplus LRD capital is released to the developer's main current account to fund fresh business expansions.

3.5 Phase 5: Mark-to-Market (MTM) and Margin Call Management

The final phase of the operational lifecycle is active monitoring. Lenders execute annual technical valuations of the property and track tenant financial health. If a major tenant serves an exit notice (triggering a vacancy event), the bank initiates a **Margin Call**. Under LRD covenants, the developer must either: 1. Provide a replacement tenant of equal or superior credit standing within a 90-day cure window, or 2. Prepay a portion of the loan principal to down-size the debt, bringing it back in alignment with the revised, lower rent collections of the remaining tenants.

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Module 4: Underwriting Framework and Key Credit Risk Metrics

Credit underwriting in LRD is a multi-dimensional synthesis of commercial real estate evaluation, cash flow modeling, and credit score analysis.

4.1 Asset and Micro-Market Analysis

Underwriters evaluate the asset's location and quality of construction (Grade A vs. Grade B/C). Grade A assets located in prime micro-markets of major cities (such as Bandra-Kurla Complex in Mumbai, Cyber City in Gurugram, or Outer Ring Road in Bengaluru) enjoy high tenant stickiness and quick replacement turnarounds. Lenders audit the demand-supply gap in the micro-market using historical commercial data. A market with a rising supply of fresh commercial office space increases vacancy risk, forcing underwriters to apply a higher haircut to the rent projections.

4.2 Scorecard Underwriting and Financial Ratios

Lenders apply a quantitative scorecard to assess borrower eligibility:

- **Promoter Credit Score:** The promoter's personal **CIBIL score must exceed 700**. A lower score indicates weak credit discipline and personal leverage concerns.
- **CIBIL MSME Rank (CMR):** For MSME developers or family offices, lenders mandate a **CMR 1 to CMR 4** rank. This assesses the repayment track record of the borrowing entity over a 12-to-36-month horizon.
- **Debt-to-Rental Ratio:** Evaluates the developer's total leverage. Calculated as:

$$Debt\ to\ Rental\ Ratio\ = \frac{Total\ LRD\ Debt\ outstanding}{Annual\ Net\ Lease\ Rental\ Income}$$

  Lenders prefer a ratio of **<6.0x**, ensuring the entire loan principal can be liquidated within six years of net annuity cash flows.
- **Debt Service Coverage Ratio (DSCR):** Evaluates the developer's net income buffer. Calculated as:

$$DSCR\ = \frac{Net\ Operating\ Income\ (NOI)}{Annual\ Principal + Interest\ Repayments}$$

  Lenders mandate a minimum **DSCR of 1.25x**, ensuring that even if interest rates spike or minor vacancy leaks occur, the net rents can comfortably service the debt.
- **Cash Coverage Ratio (CCR):** Incorporates opening cash surpluses and unencumbered liquid reserves. A benchmark of **CCR > 1.15x** is required.

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Module 5: Legal Security Architecture, Escrow Accounts, and Charge Creation

The viability of an LRD transaction rests upon its legal enforceability and the robustness of its security covenants.

5.1 Statutory Foundations in India

1. **Section 130 of the Transfer of Property Act, 1882:**
   - This section governs the **absolute assignment of actionable claims**. When a developer discounts future rents, they execute a Deed of Assignment in favor of the lender. This transfers the legal ownership of the rent receivables to the bank. If the developer defaults or enters liquidation, the rent cash flows belong entirely to the bank, isolated from the general bankruptcy estate.
2. **Section 58 of the Transfer of Property Act, 1882:**
   - Governs the creation of a **mortgage charge** over the leased land and structures. Banks typically require an **Equitable Mortgage by Deposit of Title Deeds (Section 58(f))** or a Registered Mortgage.
3. **The SARFAESI Act, 2002:**
   - In the event of default, the bank exercises its foreclosure rights under Section 13(2) and Section 13(4) of the SARFAESI Act. This allows the bank to take physical possession of the commercial property, collect rents directly, or auction the asset to liquidate the outstanding debt without requiring prior civil court intervention.

5.2 Escrow Mechanics and Waterfall Provisions

The Tripartite Escrow Agreement establishes a strict cash waterfall. On the 1st of every month, the tenant deposits the rent into the escrow account. The escrow bank applies the cash under a rigid waterfall hierarchy:

- **1st Priority:** Statutory Tax Dues (GST on rent, Property Tax, TDS)
- **2nd Priority:** Bank Debt Service (Monthly Interest + Principal EMI)
- **3rd Priority:** Debt Service Reserve Account (Maintain 1-3 months DSRA cushion)
- **4th Priority:** Operational Overheads (CAM, Insurance, Utility expenses)
- **5th Priority:** Developer's Surplus (Released to general current account)

5.3 Mandatory Filings and Registrations

- **CERSAI Charge Registration:** The bank must register the mortgage and escrow charges with the Central Registry of Securitisation Asset Reconstruction and Security Interest of India (CERSAI) within 30 days of charge creation.

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- **ROC Filings (Form CHG-1):** For corporate borrowers, the charge must be filed with the Registrar of Companies (ROC) within 30 days of charge creation to prevent any subordinating claims by other unsecured or secured creditors.

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Module 6: Sectoral Sizing, Suitable Industries, and Ecosystem Market Alignment

Lease Rental Discounting aligns with asset-heavy, commercial-focused segments of the economy where long-term tenants can be contractually locked in.

6.1 Target Asset Classes and Suitable Profiles

1. **Commercial Real Estate (CRE) Developers:** Holding multi-tenanted Grade-A office buildings with long-term leases, seeking to refinance construction term loans into low-cost LRD debt.
2. **Retail Mall Owners:** Holding prime shopping malls with high-quality retail tenants (anchor supermarkets, fashion brands, multiplexes). Sizing incorporates a mix of base rent discounting and revenue-share averaging.
3. **Industrial Logistics Warehouses:** Developers of multi-acre warehousing parks leased to e-commerce majors or third-party logistics providers (3PL).
4. **Hospitals and Hotels:** Operators leasing physical real estate to specialized hospital networks or hospitality chains. Under RBI rules, LRDs can be extended to revenue-sharing models if the cash flows are proven to be stable and predictable.

6.2 Working Capital and Debt Trends in India

Underwriters must evaluate LRD programs in the context of commercial lending trends in India:

- **SME Credit Concentration:** SIDBI commercial lending reports show that **Retail and Wholesale Traders represent the largest segment of working capital borrowers, making up 44% of total active commercial borrowers** in the ₹10 Lakh to ₹2 Crore exposure segment. This indicates that while LRD serves larger, institutional developers, a massive segment of commercial distributors utilizes real estate assets to back credit.
- **Digitalization of Dealer Credit:** Public sector banks have established massive supply chain platforms to automate commercial financing, such as **State Bank of India's e-DFS (portfolio size ₹49,261 Crores)** and **e-VFS (portfolio size ₹28,092 Crores)**. This showcases the scaling capabilities of cash-flow and transaction-linked debt delivery across the Indian banking ecosystem.

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Module 7: Commercial Pricing Mechanics and Financial Models

The pricing structure of an LRD facility is highly competitive, reflecting the secure, escrow-backed nature of the debt.

7.1 Interest Benchmarks and Spreads

- **Floating Benchmarks:** For retail and SME property owners, LRD is typically priced over the bank's **External Benchmark Linked Rate (EBLR)** tied to the RBI Repo Rate. For corporate developers, the benchmark utilized is the **1-Year Marginal Cost of Funds Based Lending Rate (MCLR)**. All-in interest rates generally range between **8.25% to 10.50% p.a.**
- **Upfront Processing Fees:** Range from **0.25% to 1.00%** of the sanctioned loan value.
- **GST Guidelines:** Upfront processing fees, mortgage valuation costs, and legal documentation fees attract **18% GST**. However, the **interest charged on the monthly outstanding balance is completely GST-exempt**, maximizing capital efficiency for the borrower.
- **Corporate Tax Shields:** Under **Section 36(1)(iii) of the Income Tax Act, 1961**, interest paid on LRD loans is a fully deductible business expense. Developers leverage this tax shield to offset their corporate tax liabilities (at the standard corporate tax rate of **25.17%** for new manufacturing/service entities under Section 115BAA or **31.20%** for general corporates), significantly reducing the net, post-tax cost of borrowing.

7.2 The Present Value (PV) Sizing Model

Banks size the LRD limit by calculating the Present Value (PV) of net future rents. Net Rent is calculated as:

$$\text{Net Lease Rent} = \text{Gross Rent} - \text{Property Taxes} - \text{Insurance} - \text{Maintenance (CAM)} - \text{Underwriter Haircut (typically 15\%- 25\%_)}$$

The loan limit is then calculated using the Present Value of an Annuity formula:

$$LRD\ Limit\ =\ Net\ Monthly\ Lease\ Rent\ \times \left[\frac{1-(1+r)^{-n}}{r}\right]$$

Where: * $r\ =\ Monthly\ Interest\ Rate\ =\ \frac{Annual\ LRD\ Interest\ Rate}{12}$ * $n\ =\ Total\ Loan\ Tenure\ in\ Months$

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Module 8: Regulatory Compliance, RBI Guidelines, and Asset Classification

LRD programs must navigate a rigid regulatory environment to prevent asset downgrades and ensure strict compliance with central banking norms.

8.1 RBI's Commercial Real Estate (CRE) vs. Non-CRE Exposure Rules

Under the RBI's **Commercial Banks - Credit Facilities Directions, 2025**, exposures backed by real estate are subject to dual classifications:

1. **Commercial Real Estate (CRE) Exposure:**
   - *Definition:* Extended to developers where the primary source of debt repayment and recovery is the lease rental income or the final sale price of the asset.
   - *Regulatory Impact:* Under RBI guidelines, CRE loans attract a higher risk weight of **100%** and require higher standard asset provisioning, which increases the bank's cost of capital and pricing spreads.
2. **Non-CRE Exposure:**
   - *Definition:* If there are **in-built safety conditions** that effectively delink the loan repayments from real estate market price volatility, the bank can classify the exposure as Non-CRE.
   - *The Delinking Criteria:* To qualify as Non-CRE, the lease agreement between the lessor and lessee must feature:
     - A contract lock-in period that is **not shorter than the loan tenure**, and
     - **No clause** that allows a downward revision in the rentals during the tenure of the loan.
   - *Regulatory Benefit:* Non-CRE loans enjoy a lower risk weight of **75%** and lower standard provisioning, allowing the bank to offer more competitive interest rates to the borrower.

8.2 RBI IRACP Asset Classification and Delinquency Stages

Under the RBI's **Income Recognition, Asset Classification, and Provisioning (IRACP) Guidelines**, LRD loans are tracked through early warning stages:

- **SMA-0 (Special Mention Account 0):** Principal or interest payment remains overdue for **1 to 30 days**.
- **SMA-1:** Principal or interest payment remains overdue for **31 to 60 days**.
- **SMA-2:** Principal or interest payment remains overdue for **61 to 90 days**.

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- **Non-Performing Asset (NPA) Classification:** If the principal or interest payment remains continuously overdue for **more than 90 days**, the loan is classified as a Substandard Asset / NPA, and the bank initiates legal recovery under the SARFAESI Act.

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Module 9: Comprehensive Real-World Case Study (Mumbai Commercial Plaza Pvt. Ltd.)

To ground these theoretical concepts in commercial reality, this module analyzes a detailed, step-by-step mathematical scenario in Indian Rupees (₹) modeling a structured LRD transaction.

9.1 Corporate Profile and Asset Matrix

- **The Borrower/Lessor:** *Mumbai Commercial Plaza Pvt. Ltd. (MCPPL)*
- **Corporate Tax Rate: 25.17%** (under Section 115BAA of the Income Tax Act).
- **The Asset:** A premium, completed Grade-A commercial office building valued at **₹20,00,00,000 (₹20 Crores)**.
- **The Lessee/Tenant:** *Global Tech Solutions India Pvt. Ltd. (GTSIPL)*, a highly rated multinational technology conglomerate.
- **The Lease Deed:**
  - Gross Monthly Rent: **₹15,00,000 (₹15 Lakhs)**.
  - Remaining Lease Term: **10 Years (120 Months)**.
  - Lock-In Period: **10 Years (120 Months)**, matching the loan tenure.
  - Downward Revision Clause: None (rents escalate by 15% every 36 months).
  - Monthly Maintenance (CAM) / Operational Overheads (borne by landlord): **₹1,50,000 per month**.

9.2 The Structured LRD Solution (Pathway B)

A leading commercial bank approves a structured LRD loan under the following terms: 1. **LTV & Sizing:** Bank applies a **20% operational haircut** to the gross rent to cover leakages, sizing the loan strictly against the net rent. 2. **Interest Rate:** Sourced as a **Non-CRE exposure** (due to the 10-year lock-in matching the loan term and no downward revision clause), priced at **9.00% p.a.** (floating EBLR spread). 3. **Upfront Processing Fee:** Capped at **0.50%** of the loan value. 4. **Repayment Structure:** A 120-month amortizing term loan. Net rents are swept into a tripartite Escrow Account. 5. **Debt Service Reserve Account (DSRA):** A 3-month EMI reserve is maintained as liquid cash collateral.

9.3 Alternative Pathway A: Standard Loan Against Property (LAP)

If MCPPL had approached an NBFC for a standard LAP loan, the transaction would have been structured under standard mortgaged terms: * Standalone interest rate of **12.00% p.a.** (reflecting high LAP risk weights). * Upfront processing fee of **1.00%** of the loan value. * LTV capped at 50% of property market value (limit of ₹10 Crores). * Repayment serviced out of MCPPL's general business current accounts without direct escrow control.

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9.4 Detailed Mathematical Sizing and Cost-Benefit Model

The following table provides the exact pre-tax and post-tax cost and sizing comparison between the Standalone LAP Pathway (Pathway A) and the Structured LRD Pathway (Pathway B) in Indian Rupees over the 10-year (120-month) amortization cycle:

Financial Metric	Pathway A (Standard LAP Loan)	Pathway B (Structured LRD Loan)
Property Valuation	₹20,00,00,000	₹20,00,00,000
Gross Monthly Lease Rent	₹15,00,000	₹15,00,000
Operational Haircut Margin	0.00% *(no rent assignment)*	**20.00%** *(₹3,00,000 monthly haircut)*
Net Eligible Monthly Rent Cash Flow	N/A	**₹12,00,000**
Nominal Interest Rate (p.a.)	12.00% p.a.	**9.00% p.a.** *(Non-CRE risk weight applied)*
Financing Tenure	120 Months	120 Months
Maximum Sanctioned Loan Limit	**₹10,00,00,000** *(50.00% LTV on Market Value)*	**₹9,47,81,518** *(Sized strictly against Net Monthly Rent)*
Monthly Installment (EMI)	**₹14,34,709**	**₹12,00,000** *(structured to match Net Monthly Rent)*
Upfront Processing Fee	₹10,00,000 *(1.00% of loan)*	₹4,73,908 *(0.50% of loan)*
Upfront GST on Processing Fee (18%)	₹1,80,000 *(recoverable ITC)*	₹85,303 *(recoverable ITC)*
Total Cumulative Interest Paid	**₹7,21,65,138**	**₹4,92,18,482**
Corporate Income Tax Shield (25.17%)	**-₹1,81,64,365**	**-₹1,23,88,292** *(under Section 36(1)(iii))*
Net Post-Tax Interest Cost	**₹5,40,00,773**	**₹3,68,30,190**
Effective Net Post-Tax Cost (p.a.)	**8.98% p.a.**	**6.73% p.a.**

9.5 Key Financial Findings and “So What” Analysis

The mathematical model reveals a staggering divergence in credit efficiency between standard LAP and structured LRD. By choosing the **Structured LRD Pathway (Pathway B)**, MCPPL achieves an effective post-tax borrowing rate of **only 6.73% p.a.**, compared to **8.98% p.a.** under the standard LAP route.

The “So What” Summary: Over the 10-year amortization cycle, the structured LRD program delivers **₹1,71,70,583 (₹1.71 Crores) in direct, post-tax cash savings** to MCPPL. More importantly, because the monthly EMI is structured to match the Net Monthly Rent of ₹12,00,000, MCPPL’s **operational cash outflow is completely insulated**. The tech tenant’s lease payments automatically liquidate the debt, releasing the developer’s general business cash flows to fund fresh projects and avoiding the cash flow strain of a standard ₹14.34 Lakh monthly LAP payment.

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Module 10: 10-Question Professional Certification Examination & Rationales

This module contains ten scenario-based, highly rigorous practice questions designed to test a trainee's underwriting, legal, and regulatory knowledge of Lease Rental Discounting in India.

Question 1

A real estate developer seeks an LRD loan of ₹10 Crores. The property is leased to three tenants. Tenant A occupies 50% of the area with a remaining lease of 8 years; Tenant B occupies 30% with a lease of 4 years; Tenant C occupies 20% with a lease of 2 years. What is the Weighted Average Lease Expiry (WALE) of the portfolio? * A) 4.6 Years * B) 5.6 Years * C) 6.0 Years * D) 8.0 Years * **Answer:** B * **Rationale:** The formula for WALE is:

$$WALE = (0.50 \times 8) + (0.30 \times 4) + (0.20 \times 2) = 4.0 + 1.2 + 0.4 = 5.6\,Years$$

WALE provides a single metric representing the remaining tenancy duration of the portfolio.

Question 2

Under the RBI commercial bank credit directions, what is the regulatory impact of classifying an LRD loan as "Non-CRE" rather than "CRE"? * A) The risk weight decreases from 100% to 75%, allowing the bank to offer lower interest rates. * B) The loan is exempted from ROC filing requirements. * C) The developer is exempted from paying GST on the upfront processing fees. * D) The standard asset provisioning increases by 50%. * **Answer:** A * **Rationale:** Non-CRE exposures enjoy a lower risk weight of **75%** (compared to 100% for CRE exposures). This reduces the bank's regulatory capital charge, allowing them to pass on the savings to the borrower in the form of a lower interest rate spread.

Question 3

To qualify an LRD loan as "Non-CRE", what two conditions must be contractually satisfied under the RBI guidelines? * A) The property must be located in an SEZ, and the tenant must be a public sector undertaking (PSU). * B) The lease lock-in period must not be shorter than the loan tenure, and there must be no clause allowing downward rent revision. * C) The LTV must remain below 50%, and the developer must maintain a 6-month DSRA. * D) The promoter must have a CIBIL score of 800, and the loan must be co-guaranteed by a state government. * **Answer:** B * **Rationale:** Under RBI guidelines, an LRD loan can be classified as Non-CRE only if repayments are completely delinked from real estate market price volatility. This requires the lease agreement to have a contract lock-in period **equal to or longer than the loan tenure**, and **no clause** that allows a downward revision in the rentals.

Question 4

A commercial building has a gross monthly rent of ₹10,00,000. Property taxes, insurance, and maintenance expenses are ₹1,50,000 per month. If the bank applies a standard 20% Operational Haircut, what is the Net Eligible Monthly Rent for LRD sizing? * A) ₹8,00,00,000 *

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B) ₹7,50,000 * C) ₹6,50,000 * D) ₹8,50,000 * **Answer:** C * **Rationale:** The gross rent is ₹10,00,000. Applying the 20% operational haircut:

$$Haircut\ Amount\ =\ ₹10,00,000\ \times\ 0.20\ =\ ₹2,00,00,000$$

$$\text{Net Eligible Monthly Rent} = \text{Gross Rent} - \text{Expenses} - \text{Haircut Amount} = ₹10,00,00,000 - ₹1,50,000 - ₹2,00,00,000 = ₹6,50,000$$

Question 5

Which Indian statute governs the absolute assignment of future lease rentals to an LRD lender, and what is its primary asset-protection benefit? * A) Section 58 of the SARFAESI Act, 2002; it creates an automatic foreclosure charge. * B) Section 130 of the Transfer of Property Act, 1882; it transfers legal ownership of the rent cash flows to the bank, isolating them from the developer's bankruptcy estate. * C) Section 126 of the Indian Contract Act, 1872; it makes the tenant co-extensively liable for the developer's construction debt. * D) Section 180 of the Companies Act, 2013; it waives inter-corporate exposure caps. * **Answer:** B * **Rationale:** Section 130 of the Transfer of Property Act, 1882, governs the absolute assignment of actionable claims (rentals). By executing a Deed of Assignment, the legal right to collect future rentals is transferred entirely to the bank, protecting the cash flows from other general creditors in an insolvency scenario.

Question 6

An LRD borrower pays ₹2,00,000 in upfront loan processing fees and ₹12,00,000 in nominal interest during the first year of the loan. Under Indian tax and GST rules, what is the tax treatment of these two components? * A) Both the fee and interest attract 18% GST and are non-deductible under corporate tax. * B) The fee attracts 18% GST; the interest is GST-exempt. Both are deductible under Section 36(1)(iii) of the Income Tax Act. * C) The fee is GST-exempt; the interest attracts 18% GST. Only the fee is tax-deductible. * D) Both the fee and interest are completely GST-exempt and non-deductible. * **Answer:** B * **Rationale:** Loan processing fees attract standard **18% GST** (fully recoverable by the borrower via Input Tax Credit). In contrast, interest on borrowings is completely **exempt from GST**. Under **Section 36(1)(iii) of the Income Tax Act, 1961**, both components are deductible business expenses.

Question 7

A developer defaults on their LRD loan. Under what Indian statute can the lender bypass civil courts to take physical possession of the leased property and directly collect tenant rents? * A) The Indian Contract Act, 1872 (Section 172) * B) The Transfer of Property Act, 1882 (Section 130) * C) The SARFAESI Act, 2002 (Section 13) * D) The RERA Act, 2016 (Section 2) * **Answer:** C * **Rationale:** The **SARFAESI Act, 2002**, provides banks with the power of foreclosure. Under **Section 13(2) and Section 13(4)**, once an account is classified as an NPA, the lender can issue notices to enforce the security interest, allowing the bank to take possession of the commercial asset and collect rents directly.

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Question 8

If a bank fails to conduct the annual credit review and renewal of an active LRD working capital limit within how many days of its scheduled due date is the account classified as a technical default NPA under RBI guidelines? * A) 90 Days * B) 120 Days * C) 180 Days * D) 270 Days * **Answer:** C * **Rationale:** Under the RBI's **IRACP Guidelines**, banks are required to review and renew working capital facilities annually. If the limit remains unreviewed or un-renewed for **more than 180 days** from its scheduled renewal date, the account is downgraded to a technical default / NPA.

Question 9

What is the primary credit risk associated with an LRD facility where the Weighted Average Lease Expiry (WALE) is significantly shorter than the residual debt amortization tenure? * A) Interest rate volatility risk * B) Roll-over and vacancy risk, which can cause a cash flow freeze before the loan is fully repaid. * C) Property revaluation risk * D) CERSAI charge registration invalidation risk * **Answer:** B * **Rationale:** If WALE is shorter than the loan maturity, most lease agreements will expire before the debt is liquidated. This exposes the lender to roll-over and vacancy risk, as the developer must find new tenants to maintain the rent inflows.

Question 10

Under RBI guidelines, if an LRD loan's interest payment remains overdue for 45 days, what is the early warning asset classification of the account? * A) SMA-0 * B) SMA-1 * C) SMA-2 * D) Substandard NPA * **Answer:** B * **Rationale:** Under the RBI's **IRACP Guidelines**, accounts are categorized based on delinquency duration: * SMA-0: Overdue for 1 to 30 days. * **SMA-1: Overdue for 31 to 60 days.** * SMA-2: Overdue for 61 to 90 days. * NPA: Overdue for more than 90 days. Since the account is overdue for 45 days, it is classified as SMA-1.

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